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Mitsubishi Heavy Industries (7011.T)

Getting to grips with gas turbine capacity expansion

CITI'S TAKE

MHI is one of the top three suppliers of large-frame gas turbines. According to the McCoy Power Report, in CY25 MHI's global share of advanced-class units was 34% (marginally behind GEV) with an average size of 454MW. MHI data suggest 72% of global orders were from electric utility companies in 2024-25, with another 21% from IPPs. Also, 80% of orders were combined cycle, and >80% of orders were advanced class (G-, H-, J-class). Our understanding is that in North America MHI does not market directly to hyperscalers, and one reason is it wants to sign high-margin long-term service agreements (20 years or more). We note concerns of a possible oversupply of power generation capacity but MHI's expansion plans are more restrained than many. We estimate its global gas turbine capacity will rise from c12.5GW in 2025 to c18.5GW in 2030 and c22.0GW in 2032.

There is a useful table (Figure 8) on planned gas manufacturing capacity growth for 2026-2030 in a recent report on [FuelCell Energy](#) by our US colleague Vikram Bagri. It shows MHI's planned capacity expansion from 13.5GW to 18.8GW, with a CAGR of 8.7%. These forecasts suggest MHI will continue to have the fifth-largest gas turbine capacity in 2030 after CAT, CMI, GEV, and Siemens Energy. However, as noted above >80% of MHI's recent orders are for advanced-class turbines, sold mainly to regulated utilities and IPPs. Should we start to see a slowdown in data center construction in the US we think the impact on MHI's gas turbine business (c35% of FY3/27 orders and OP) will be limited. In FY3/27 Q1 MHI received orders for 10 large-frame units (4 in North America, 6 in Japan), and the confirmed backlog of 80 units/35GW is more than three years' worth of work (before allowing for SRAs). Given the upbeat global backdrop for gas turbine demand we think MHI will probably revise up its gas turbine order target for the second time this year with Q2 results.

Buy

Price (16 Sep 26 15:30)	¥3,737.0
Target price	¥4,900.0
Expected share price return	31.1%
Expected dividend yield	0.8%
Expected total return	31.9%
Market Cap	¥12,558,793M
	US\$80,975M

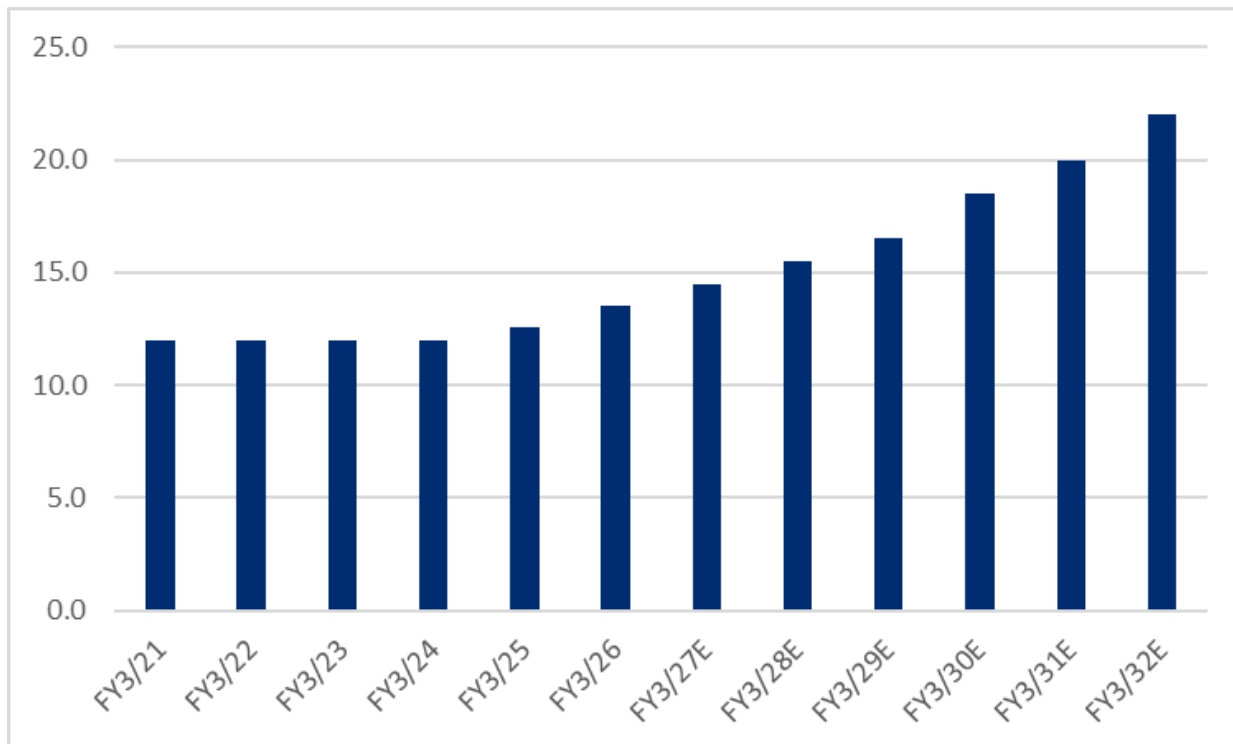
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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. MHI: Gas turbine capacity expansion (GWe)



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Source: Company data, BNEF, Citi Research

Mitsubishi Heavy Industries

Valuation

We use a sum-of-the-parts approach to value MHI, using the average for three metrics: PER, EV/sales, and EV/EBIT. Using our FY3/28 sales and OP forecasts for the four main divisions to reflect the longer-term characteristics of the energy and defense businesses in particular, and drawing on a range of international and domestic competitors, factoring in total net debt at end-March 2026 and other balance sheet items, and then applying a 20% subjective premium to reflect the bright long-term outlook for its gas turbine, nuclear, and defense businesses, we arrive at a target price of ¥4,900.

Risks

Factors that could cause the share price to undershoot our target price include: 1) a renewed downturn in civil aerospace with additional losses on the PW1100G engine; 2) greater competition in gas turbines and/or the emergence of a credible Chinese competitor; 3) a nuclear accident; 4) an inability to expand its after-sales activities especially in the energy division; 5) yen strength against the USD; 6) a decision to try again to develop a regional jet (at the behest of the Japanese government); and 7) further losses on the two IGCC projects in Fukushima.

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Appendix A-1

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Mitsubishi Heavy Industries (7011)

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Fundamental Research

Analyst: Graeme McDonald



	Date	Rating	Target Price	Closing Price
1	13-Sep-23 04:05:19	1	*1,030	849
2	08-Feb-24 01:05:10	1	*1,200	1,028
3	26-Mar-24 02:05:00	1	*1,550	1,386
4	14-May-24 02:05:00	1	*1,540	1,300

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	02-Sep-24 02:05:00	1	*2,350	1,924
6	30-May-25 06:36:53	1	*3,850	3,352
7	29-Sep-25 02:35:00	1	*4,450	3,925
8	10-Mar-26 02:54:54	1	*5,300	4,648

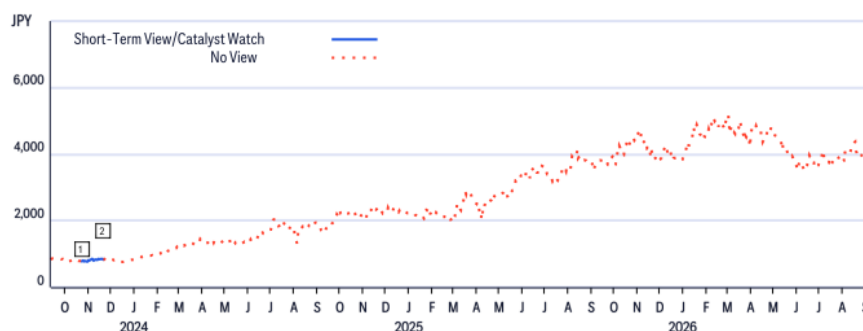
	Date	Rating	Target Price	Closing Price
9	10-Jun-26 02:35:00	1	*4,700	3,578
10	06-Aug-26 02:35:00	1	*4,900	3,998

Rating/target price changes above reflect Eastern Time

Mitsubishi Heavy Industries (7011)

Short-Term View/Catalyst Watch Research

Analyst: Graeme McDonald



	Date	Action	Expected Direction	Duration	Closing Price
1	23-Oct-23 01:07:37	Add CW	Upside	30 Days	779

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	21-Nov-23 20:03:00	Remove CW	Upside	30 Days	828

Rating/target price changes above reflect Eastern Time

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